

WHAT THE FED WAS GOING TO DO

I WAS STROLLING THROUGH WALL STREET WHEN I PASSED A CLEARING called Liberty Square and found myself facing a large stone palazzo, the kind the Medicis built in Florence. Across from this palazzo, workers had parked a couple of beat-up moving vans and were unloading the contents—pallets of silver bars—as nonchalantly as if it were a shipment of discount umbrellas. Silver bars were piled up on the street. I didn't see any guards, but maybe they were masquerading as bums, who were thick in the area.

Most bystanders ignored the pile of silver, which goes to show how unpopular precious metals had become. I reminded myself not to invest in them.

A bronze plaque on the stone palazzo identified it as the New York Federal Reserve Bank. This was a branch of the famous Fed everybody talks about. It is housed in an appropriate building, since the Florentine Medicis were central bankers themselves.

People all over the city seemed to be asking each other what the Fed was going to do. Already, I'd seen Mr. Gressel work himself into a frenzy over a simple Fed announcement. I read in a magazine that even the midwestern farmers were worrying about the Fed, as much or more than they ever worried about the weather. Some of them even prayed for a cut in the discount rate.

Ten years ago, when M-1 was still a rifle and not the money supply, the average person had never heard of the Fed. Suddenly, all our bank accounts, certificates of deposit, mortgages, stocks, bonds, retirement plans, college plans, pensions, and Christmas savings are being affected by what the Fed intends to do. To me, the organization was completely mysterious. If I hadn't acciden-